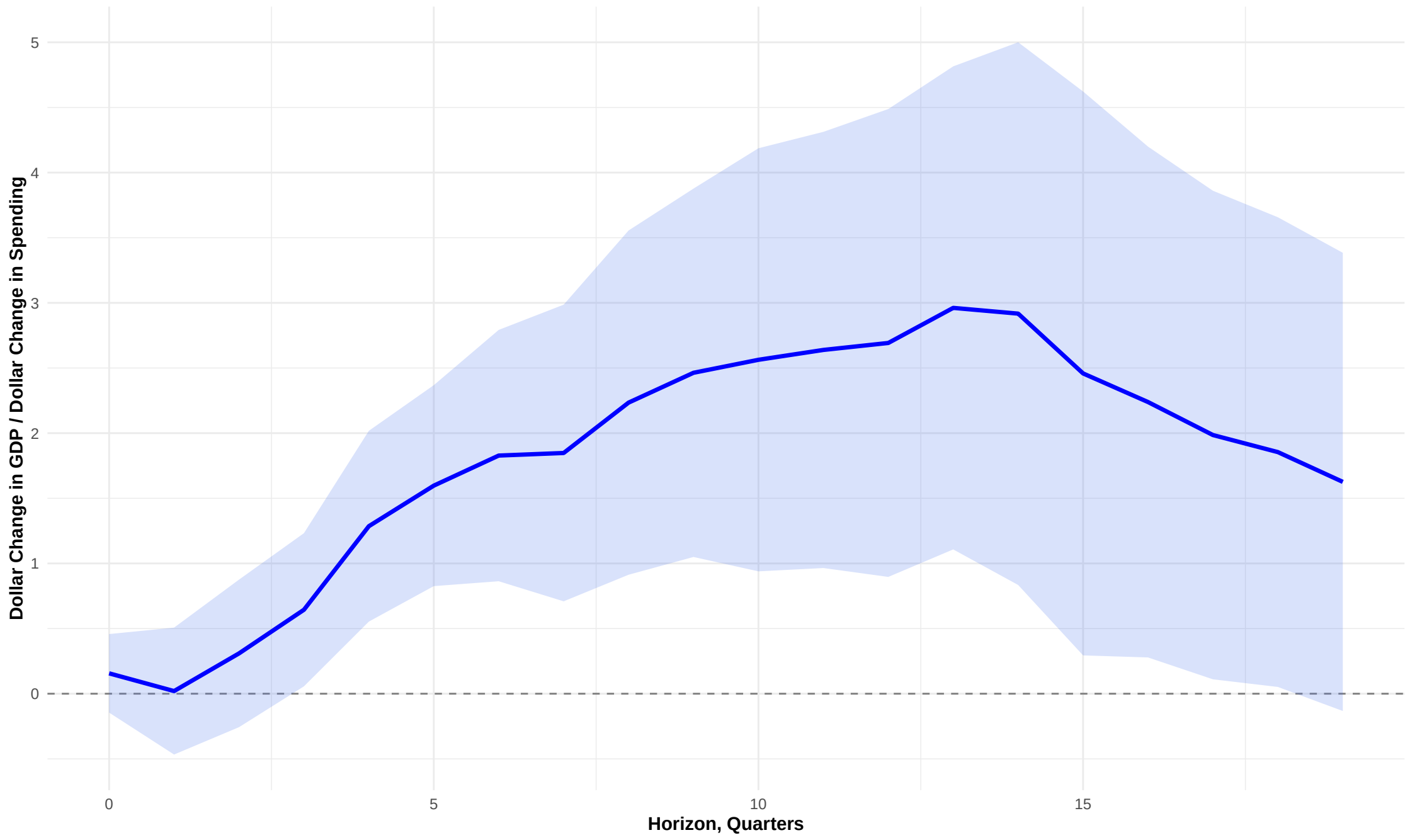


Government Spending Multipliers in \$: HIGH PROGRESSIVITY

Smooth Transition LP-IV



Regime
(Shaded: 95% Newey-West CI)

High Progressivity

Scaled by 1913–2006 avg GDP/GOV ratio